

PIYUSH PATEL

DEEPAK GHETIYA, *39*
Diamond polisher

Runs a mobile snacks outlet outside Surat's Kohinoor Building, where he still polishes diamonds part-time

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and managing director of Limelight Diamonds, one of India's largest LGD retail jewellery brands. She insists the shift to LGDs isn't due to the ongoing wars or the Covid pandemic, but rather the global acceptance of LGDs by consumers—a reality that industry veterans and sightholders (a select few companies authorised to buy rough diamonds from De Beers) are reluctant to acknowledge, despite holding inventories worth thousands of crores.

And if prices of LGDs are falling, it is because of a rationalisation of profits, not a fall in the perception of the product, as Madhavan points out how retail prices have not fallen. "Since the entry barrier was low, more growers entered the market and price was the only factor to compete. So, the wholesale prices tanked, which we were prepared for."

However, David Kellie, CEO, Natural Diamond Council, is not sure about the sustainability of the business model of LGD for retailers. "The profitability that they get with natural diamonds is not remotely comparable. With prices crashing, retailers' desire to push LGD jewellery will determine its prospects," he says. Retail prices of natural diamonds studded in jewellery, on the other hand, have not been affected beyond 10 per cent, and they remain retailers' favourite bet, a critical aspect of the trade going forward. Golan concedes that LGD companies may have captured the consumers' imagination but they have to reinvent themselves to remain relevant in the trade to have access to consumers.

Madhavan doesn't entirely agree as she is clear-eyed about the lack of aura surrounding LGDs. "Diamond jewellery ought to be seen at par with shoes or apparel," she shrugs. "When one buys branded shoes or clothes, do they care about the cost of leather or cotton in the wholesale market? As a consumer, she pays for the design, assurance of quality and the perceived value of the brand, not the raw material," she asserts. Stating that only 5 per cent of women have ever worn a natural diamond, Madhavan underlines the aspiration and potential associated with the product.

AS MANY AS 50,000 ARTISANS HAVE BEEN LAID OFF OR ARE WORKING FEWER HOURS, WITH EXTENDED BREAKS

However, the question on everyone's mind is what the future holds for natural diamonds. Kellie says it's not a question of if, but when, the natural diamond market will bounce back and stabilise "forever". This, he explains, is driven more by the economics of the trade than by emotion or perception. "The supply will gradually peter out as mines start closing over the next five decades due to diminishing returns. African countries that currently depend on mining will eventually find alternatives. Soon, LGDs and natural diamonds will no longer compete with each other," Kellie surmises. The implication is that natural diamonds, particularly the large stones, are destined to become rare and valuable collectors' items, akin to art or antiques.

Until then, a massive consolidation looms, as the high-stakes industry weeds out small players unable to sustain inventories worth thousands of crores, forcing a reduction in manhours for cutting and polishing. Deepak Ghetiya can see the future. Which is why the diamond polisher has started selling snacks outside the Kohinoor Building where he still polishes diamonds, part-time. "My wife makes *ghooghras* (a fried Gujarati snack) at home that I heat and sell here from a convertible cart, straddled on my motorbike. If *sheth* (his boss) calls me, I polish diamonds for up to four hours and then spend six hours or more selling snacks. Meanwhile, I also have a YouTube channel where I create content about Surat city news and soon, I am looking to squeeze some income out of Google," he says with a shrug and a wink.

Artisans like Ghetiya are just collateral damage in a disruption that is historic. Given the flux in the industry, one wonders if diamonds will be forever. ■